

HOW REBALANCING CAN REDUCE YOUR RISK

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Volatile financial markets, events in your life, and even regular investment reviews can prompt you to wonder why your adviser rebalances your portfolio. After all, if your strongest-performing assets account for a larger portion of your holdings, why not let them ride?

It all comes down to risk.

Appropriately balancing risk and returns

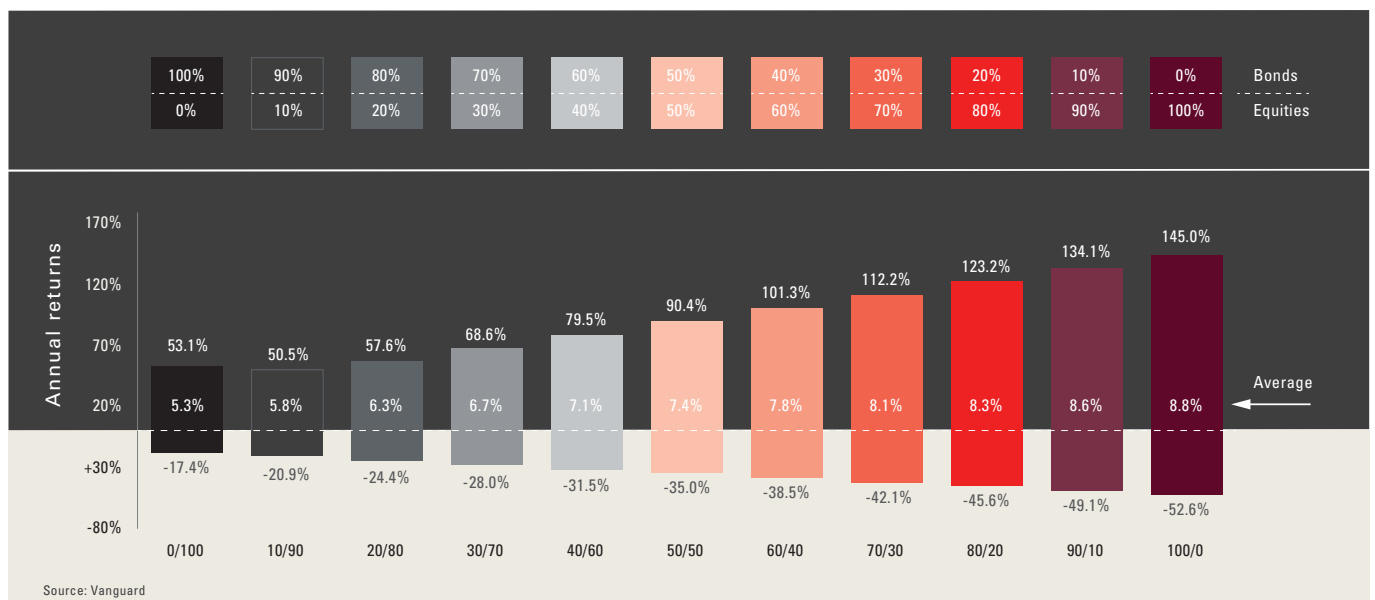
When your adviser initially drew up your investing plan, they will have weighed several factors: your income, age, and your financial goals, among other things. They will have built your

portfolio based on your unique goals and incorporated some market return assumptions. The resulting portfolio's allocation balances the potential returns you'll need to reach your goals with the risk of potential losses you may incur.

In other words, the purpose of rebalancing isn't to score the maximum returns possible. The purpose is to manage risk, so your nest egg might fluctuate less in the event of a downturn. The chart below visualises the concept. Historically, as the percentage of equities in a portfolio has increased, so have the portfolio's returns. But there's a trade-off: the higher the percentage of stocks, the greater the risk of losing money.

Historically, higher-return assets have brought increased risk

Best, worst, and average returns for various stock/bond allocations, 1901-2019



Past performance is not a reliable indicator of future results. The performance of an index is not an exact representation of any particular investment, as you cannot invest directly in an index.

Source: Vanguard.

Note: Reflects the maximum and minimum calendar year returns, along with the average annualised return, from 1901-2019, for various stock and bond allocations, rebalanced annually. Equities are represented by the DMS UK Equity Total Return Index from 1901 to 1969; thereafter, equities are represented by the MSCI UK Index. Bond returns are represented by the DMS UK Bond Total Return Index from 1901 – 1985; the FTSE UK Government Index from Jan 1986 – Dec 2000 and the Bloomberg Barclays Sterling Aggregate Index thereafter. Returns are in sterling, with income reinvested, to 31 December 2019.

In order to reduce your risk, you will need to consider diversifying – that is, spread your portfolio across a broad mix of assets. Diversifying your portfolio can help smooth out market ups and downs: so returns from better performing assets help to offset those that aren't performing so well.

Your adviser will likely maintain a diverse, balanced portfolio with a disciplined commitment to an established asset allocation—for example, a portfolio made up of 60% stocks and 40% bonds. If you require relatively consistent returns (for instance, if you're generating income from your portfolio and want that income to remain steady), bonds serve to dampen the market volatility that might otherwise disrupt steady returns.

Key terms

Asset allocation — The breakdown of a portfolio between different asset classes such as equities and bonds.

Asset classes — A category of securities that exhibit similar characteristics. Examples include equities, bonds, cash or property.

Bonds — A loan certificate issued by a government, public company or other body. The issuer agrees to repay the original amount borrowed after an agreed time (when the bond matures). Bonds usually repay a fixed interest rate (known as the coupon) over a specified time.

Diversification — A strategy that helps to protect against risk by spreading investments across different asset classes or sectors.

Equities — Ordinary company shares. A stock or other security representing an ownership interest in a company.

Portfolio — A combination of investments held in one place. A portfolio is frequently created to meet particular investment objectives, such as providing capital growth or regular income.

Risk — The chance that an investment's actual return will differ from expectations. Risk comes in many forms, including market risk (the chance that returns will fluctuate) and shortfall risk (the possibility that a portfolio will fail to meet longer-term financial goals). Investors should decide on their individual risk tolerance and use this as a guide to building their investment portfolio.

Risk tolerance, risk appetite, risk profile or risk/reward trade-off — The extent to which individual investors are prepared to accept volatility in their investment portfolios in return for receiving potentially higher returns.

Volatility — The extent to which investments or interest rates fluctuate over time.

Investment risk information:

The value of investments, and the income from them, may fall or rise and investors may get back less than they invested. Past performance is not a reliable indicator of future results.

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